

BAE Systems Inc

Business Development Dossier

Industry	Defense & Aerospace
Revenue	\$13.6B
Employees	35,000
Ideal Customer Profile Score	87

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name	BAE Systems, Inc.
Headquarters	Falls Church, Virginia
Founded	1999

Ownership

Subsidiary of BAE Systems plc (UK); operates under Special Security Agreement (SSA) with U.S. government ensuring operational independence from UK parent on classified programs. Tom Arseneault leads U.S. operations.

Footprint

38 U.S. states with major operations in: NH/MA (electronic systems), VA/MD (intelligence & security), PA/MI/SC (platforms & services - combat vehicles), CO/DC (Space & Mission Systems from Ball). International operations in Israel, South Africa, Sweden, UK under BAE plc umbrella. 35,000 U.S. employees.

SECTION 1b

Company Overview

BAE Systems Inc. is the U.S. subsidiary of BAE Systems plc (UK), operating as one of the six largest U.S. defense contractors with \$13.6B in U.S. revenue and 35,000 employees across 38 states. The \$5.5B Ball Aerospace acquisition (completed Feb 2024) created a new Space & Mission Systems segment, transforming BAE from a ground/electronics-focused contractor into a full-spectrum defense platform. CEO Tom Arseneault, with 22+ years at BAE, is leading the integration of 5,200 space engineers from Ball Corporation - one of the most unusual cultural integrations in defense.

SECTION 2

Financial Health & Growth Stage

Understanding BAE Systems Inc's financial position and trajectory is critical to framing any engagement conversation.

Revenue: \$13.6B (U.S. operations), contributing nearly half of BAE plc's \$37.3B global revenue.

Profitability: Strong margins across electronic systems and platforms segments. Space & Mission Systems (Ball) contributing to growth but integration costs ongoing.

Capital Investment: Significant investment in Ball Aerospace integration and space capabilities; new CIDO (Mona Bates, Feb 2026) signaling digital transformation investment.

Key Pressures: Ball Aerospace cultural integration (consumer packaging -> defense); SSA governance adds complexity to U.S.-UK coordination; combat vehicle programs facing budget uncertainty; competitive pressure from Raytheon and L3Harris in electronics.

Key Tailwinds: Surging global defense demand; Ball Aerospace provides space capabilities that complement existing portfolio; bipartisan support for defense electronics; international allied demand growing.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Mona Bates - SVP & Chief Information & Digital Officer [PRIORITY TARGET]

Hired from Collins Aerospace (RTX); leads enterprise technology and digital strategy

Outreach rationale: Newly hired (Feb 2026) to drive digital transformation across BAE's U.S. operations - integrating IT systems from Ball Aerospace, modernizing enterprise technology, and building digital capabilities. As an outsider (from RTX/Collins) she brings fresh perspective and willingness to engage external partners for organizational transformation.

[President, Space & Mission Systems] - President, Space & Mission Systems [PRIORITY TARGET]

Leads the former Ball Aerospace business within BAE's defense framework

Outreach rationale: Directly responsible for integrating 5,200 Ball Aerospace employees - who spent careers at Ball Corporation (consumer packaging parent) - into BAE's defense culture. This is the cultural integration frontline.

Additional leadership team members relevant to the engagement:

Tom Arseneault - President & CEO, BAE Systems Inc.

Led \$5.5B Ball Aerospace acquisition; oversees 35,000 U.S. employees across four sectors

[President, Electronic Systems] - President, Electronic Systems

Leads BAE's largest legacy U.S. segment - electronic warfare, sensors, communications

[President, Platforms & Services] - President, Platforms & Services

Combat vehicles (Bradley, AMPV, ACV), ship repair, munitions

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how BAE Systems Inc operates today and where friction exists.

Organizational Structure

Four U.S. sectors: Electronic Systems (electronic warfare, sensors), Intelligence & Security (cyber, intelligence), Platforms & Services (combat vehicles, ship repair), Space & Mission Systems (former Ball Aerospace - satellites, instruments, sensors). SSA governance board ensures U.S. operational independence from UK parent. The four-sector structure plus SSA governance plus UK parent coordination creates a multi-layered organizational design challenge.

Culture Signals

Glassdoor (3.6/5 for BAE USA; 3.9/5 for BAE global): Employees cite strong mission-driven culture and good benefits. However, upper management perceived as disconnected from daily operations; bureaucratic processes common for government work. Some describe 'frequent layoffs' creating uncertainty despite overall growth.

Ball Aerospace Cultural Integration: The central cultural challenge - 5,200 employees who spent careers at Ball Corporation (a consumer packaging company that happened to have an aerospace division) must integrate into BAE's defense contractor culture. Ball employees had more commercial-sector norms (faster pace, less compliance overhead, different compensation models) that clash with BAE's defense processes.

Defense vs. Non-Defense Heritage: BAE's U.S. workforce has deep defense DNA - many former military, security-cleared, compliance-focused. Ball Aerospace employees are skilled space engineers but from a corporate culture where defense compliance was one requirement among many, not the organizational foundation.

SSA Governance Complexity: The Special Security Agreement creates a unique organizational dynamic - U.S. operations must maintain independence from the UK parent on classified programs, adding governance layers and coordination complexity that purely domestic defense companies don't face.

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging BAE Systems Inc.

1. 2024-02-16 - Completed \$5.5B Ball Aerospace acquisition; 5,200 employees transferred to new Space & Mission Systems segment

Most significant organizational transformation in BAE Inc.'s history - absorbing a non-defense-origin workforce into a defense contractor. Integration is in Year 2, which is typically when the harder cultural work begins.

2. 2026-02-23 - Hired Mona Bates (from Collins Aerospace/RTX) as SVP & Chief Information & Digital Officer

New technology leadership from outside BAE signals investment in digital transformation and enterprise technology modernization - likely including Ball Aerospace IT system integration.

3. 2025-06-01 - BAE Systems plc achieved record global revenue of \$37.3B; U.S. operations contributing ~\$13.6B

Growth creates organizational scaling demands across U.S. operations - particularly as Ball Aerospace integration adds space program complexity.

4. 2025-12-01 - Surging global defense demand driving record orders across BAE's portfolio - electronics, vehicles, and now space

Demand surge across all four sectors creates resource allocation tension at the enterprise level - who gets priority for cleared engineers, IT investment, and management attention?

5. 2025-01-01 - Ball Aerospace integration entering Year 2 - moving from 'honeymoon phase' to harder cultural and operational integration

Year 2 of major acquisitions is typically when integration challenges surface - systems that ran in parallel must now converge, and cultural friction increases.

SECTION 6

McChrystal Fit Assessment

The Ball Aerospace cultural integration is genuinely unusual and creates real organizational coordination challenges. However, BAE's SSA governance adds complexity to external engagements, and the UK parent relationship creates additional approval layers. Rating moves to Strong if: Ball integration challenges become visible (quality, retention, cultural friction), OR if the new CIDO (Mona Bates) champions a broader digital/organizational transformation that McChrystal supports. McChrystal's military credibility is strong within BAE's defense culture.

Primary Problem

Integrating 5,200 Ball Aerospace employees (from consumer packaging corporate culture) into a defense contractor while maintaining security compliance, building a coherent four-sector enterprise, coordinating with a UK parent through SSA governance, and scaling to meet record defense demand - all creating a multi-layered organizational design challenge unique in the defense industry.

Best McChrystal Capability Fit

Post-acquisition cultural integration in a defense environment - the Ball Aerospace integration is the most culturally unusual integration in defense (consumer packaging -> defense). McChrystal's shared consciousness methodology creates cultural cohesion across organizations with fundamentally different DNA. The SSA governance dimension adds a multi-stakeholder coordination challenge (U.S. operations + UK parent + DoD oversight) that McChrystal's multi-entity coordination model addresses.

Likely Objections to Engagement

We're in Year 2 of Ball integration - it's going well
 SSA governance complicates external advisory engagement
 UK parent (BAE plc) must approve U.S. advisory spending
 Tom Arseneault has 22 years at BAE - he knows this organization

Competitive Advisory Landscape

McKinsey - defense M&A integration
 Deloitte - IT system integration (Ball -> BAE)
 Booz Allen Hamilton - defense-specific organizational advisory
 Internal: BAE has integration experience from prior acquisitions

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

1. In Year 2 of the Ball Aerospace integration, where is the cultural friction showing up - particularly between Ball employees' commercial-sector norms and BAE's defense compliance culture?

Surface the cultural integration challenge that's hardest to see from outside. Year 2 is when honeymoon optimism fades and real friction emerges.

2. With four sectors plus SSA governance plus UK parent coordination, how does the enterprise coordination model work when decisions need to move fast but governance structures add layers?

Address the multi-layered governance challenge directly - showing understanding of BAE's unique organizational complexity as a foreign-owned defense contractor.

Recommended Meeting Framing

Frame as a conversation about post-acquisition cultural integration in defense - specifically, the unique challenge of integrating a non-defense-origin organization (Ball Aerospace) into a defense contractor's compliance-heavy culture. McChrystal's experience integrating military units with different cultures, authorities, and operating norms is the direct analog.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects BAE Systems Inc's market positioning to potential McChrystal engagement opportunities.

Brand Value: BAE Systems Inc. carries strong brand credibility in the U.S. defense market - one of the six largest DoD contractors, with deep positions in electronic warfare, combat vehicles, and intelligence. The Ball Aerospace acquisition added space brand equity (James Webb Space Telescope, Earth observation instruments).

Brand Identity Evolution: BAE is evolving from 'defense electronics and combat vehicles' to 'full-spectrum defense and space platform.' The four-sector portfolio now covers electronic warfare, intelligence/cyber, ground combat, and space - a breadth that few defense companies match.

Brand Threats: The foreign-ownership dynamic (UK parent) is always a sensitivity in defense - some DoD program offices prefer domestic primes. Ball integration quality issues (if any) could damage the brand's expanding space credibility.

McChrystal Connection: BAE's brand expansion into space requires organizational credibility - the Ball team must deliver space programs to defense standards. McChrystal's operating model ensures the organizational execution matches the brand promise of defense-grade space capabilities.

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing BAE Systems Inc. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: Non-Defense-Origin Cultural Integration

Integrating Ball Aerospace (consumer packaging corporate parent) into BAE (defense contractor) is unique in the industry. Ball employees came from a culture where defense compliance was one consideration; at BAE it's the organizational foundation. McChrystal's cultural integration methodology bridges this gap without destroying Ball's engineering innovation culture that made it worth \$5.5B.

Fit Dimension 2: Multi-Entity Governance Coordination

BAE Inc. operates within SSA governance (U.S. independence from UK parent on classified programs), UK parent strategic oversight, and DoD customer requirements. Decisions must navigate three governance layers. McChrystal's multi-stakeholder coordination model - proven in allied military operations - addresses this.

Fit Dimension 3: Four-Sector Enterprise Coordination

Four sectors with different customers, cultures, and capabilities must coordinate on enterprise-level resources (talent, IT, facilities). McChrystal's Team of Teams connects autonomous sectors without centralizing control.

9b. Cumulative Case

BAE Systems Inc. represents the most culturally unusual integration in defense - consumer-origin space engineers merging with defense-DNA combat vehicle and electronics teams. Signal chain: \$5.5B Ball acquisition -> 5,200 employees -> Space & Mission Systems created -> Year 2 integration -> new CIDO hired -> four-sector enterprise scaling -> SSA governance complexity -> UK parent coordination. Revenue potential: \$300K-\$400K initial (Ball integration cultural assessment), \$800K-\$1.2M deployment, \$300K ongoing. Total: \$1.4M-\$2M.

9c. Enterprise Issues

1. Ball Cultural Integration Friction: Consumer packaging -> defense culture shift affecting retention, process compliance, and organizational identity for 5,200 employees. 2. SSA Governance Overhead: Classification-driven U.S. independence from UK parent adds decision-making layers and coordination complexity. 3. Four-Sector Resource Competition: Electronics, Intelligence, Platforms, and Space compete for cleared talent, IT investment, and executive attention. 4. IT System Integration: Ball Aerospace IT systems must integrate with BAE's defense IT infrastructure - complicated by security requirements. 5. Retention of Ball Space Talent: Ball employees in Colorado's competitive aerospace labor market (SpaceX, Lockheed, Ball's remaining business) have options. If BAE's defense culture feels constraining, they leave.

9d. Expected Outcomes

1. Ball Cultural Integration Acceleration: Shared identity framework for Ball + BAE employees. Measurable: Ball

employee retention >90% at 24-month mark. 2. Four-Sector Coordination Cadence: Enterprise operating rhythm connecting sector presidents. Measurable: cross-sector resource allocation conflicts reduced by 40%. 3. SSA-Optimized Decision Process: Governance-compatible operating cadence. Measurable: classified program decisions made within SSA requirements without unnecessary delays. 4. Space Credibility Building: Organizational discipline ensuring Ball-origin programs meet defense delivery standards. Measurable: space program execution metrics on-par with legacy BAE programs.

9e. Key Stakeholders

CEO

Leader: Tom Arseneault, President & CEO

Role: U.S. enterprise leadership

McChrystal Relevance: Executive sponsor

CIDO

Leader: Mona Bates, SVP & CIDO

Role: Digital transformation, IT integration

McChrystal Relevance: Priority: Ball IT integration, enterprise digital

Space & Mission Systems

Leader: [President]

Role: Ball Aerospace integration

McChrystal Relevance: Priority: Cultural integration frontline

Electronic Systems

Leader: [President]

Role: Electronic warfare, sensors

McChrystal Relevance: Legacy BAE culture anchor

Intelligence & Security

Leader: [President]

Role: Cyber, intelligence

McChrystal Relevance: SSA governance coordination

Platforms & Services

Leader: [President]

Role: Combat vehicles, ship repair

McChrystal Relevance: Ground defense operations

9f. Opportunity Thesis

Why Now: Ball integration Year 2 - when honeymoon fades and real cultural work begins. New CIDO (Feb 2026) signals digital transformation investment. Record defense demand creates enterprise coordination pressure.

Why McChrystal, Not McKinsey: The Ball-to-BAE cultural integration is uniquely suited to McChrystal - military experience integrating units with different cultures and capabilities under security constraints is the direct analog. SSA governance adds a multi-national coordination dimension that McChrystal's allied operations experience addresses.

Phased Engagement: Phase 1 (\$300K-\$400K): Ball cultural integration assessment + four-sector coordination.

Phase 2 (\$500K-\$800K): Enterprise deployment + IT/digital transformation support. Phase 3 (\$300K retainer): Ongoing integration and coordination. Total: \$1.1M-\$1.5M.

Multi-Threaded Pursuit: Mona Bates (new CISO - fresh perspective, external hire), Space & Mission Systems President (Ball integration), Tom Arseneault (CEO, 22-year veteran). Defense conferences; military/space community connections; Colorado aerospace ecosystem.